

Drafting a Statement of Work

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Agenda

- Why – Addressing Challenges
- Importance & Benefits
- Inception of the SOW
- Understanding & Definitions
- When to Write a SOW
- Legal and Risk Considerations
- Components of a SOW
- An Effective SOW
- View from a Contractor's Perspective



Agenda

- Authors of a SOW
- Technical Specifications
- Writing Tips
- Risk Mitigation Analysis
- Review and Wrap Up



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Why – Addressing Challenges



Key Challenges



Key Challenges

1. Describing the work
2. Assumptions
3. Measuring Performance
4. Contract Management
5. Scope Creep
6. Minimizing Risk



Key Challenges



Describing the Work

- Scope of Work/Services
 - critical to get description of work & understanding right from the start
 - service provider is bound to do ONLY what is contracted for
 - failure to articulate
 - (i) assumptions & (ii) the tasks and results sought
 - conflicts during & at the end of contract



Assumptions

- Major challenge for planning, procurement and contracting
 - a belief of what you assume to be true in the future – that is not always the case
 - make assumptions >>> limit to a narrow view of things
 - assumptions are not legally enforceable
 - when assumptions are false – can adversely affect a project & add risks

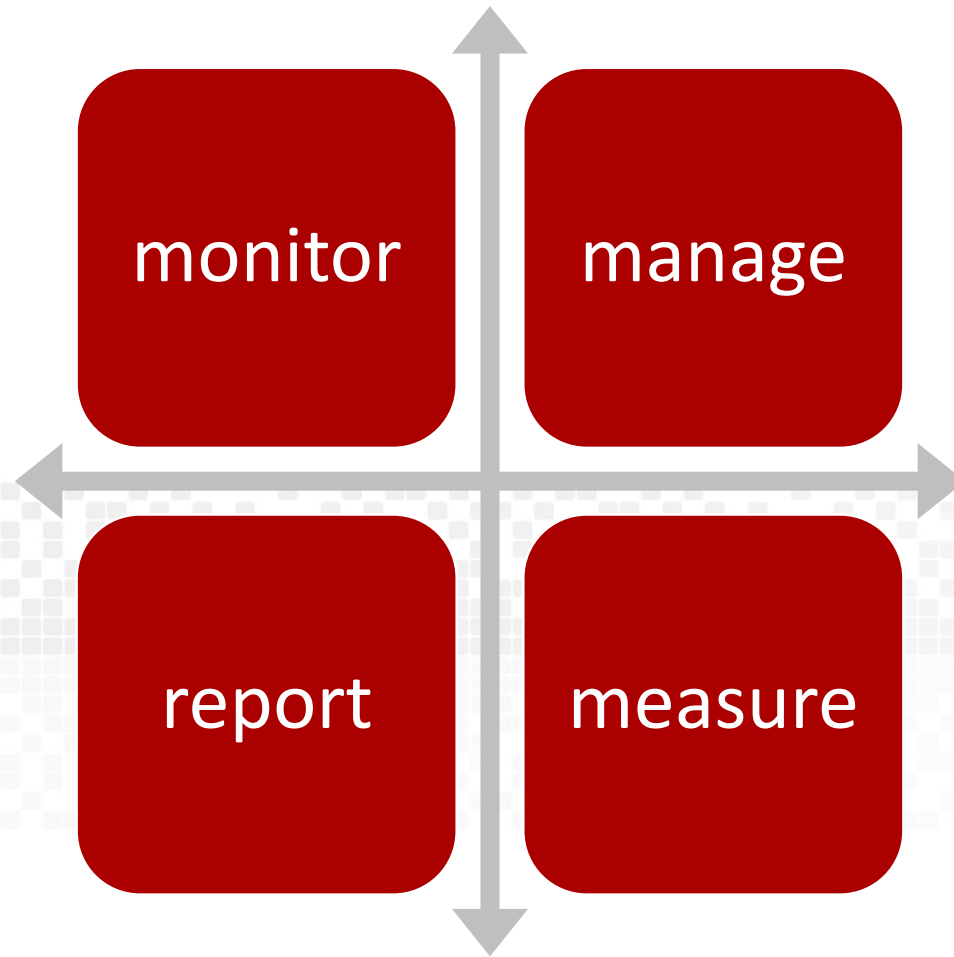


Measuring Performance

- Measuring performance
 - confusion & unusable or inadequate deliverables
 - how? when? what?
- Integration of performance measurements



Contract Management



Contract Management

- Contract management tools
- Failure to follow-up and/or document problems
 - little justification for refusal to pay
 - litigation – decreased damages due to a lack of evidence of difficulties
- Lack of metrics and KPI measurement
- Typically underdone



Scope Creep

- All-too-common
 - regardless of requirements – some projects
 - grow beyond boundaries
 - require revisions
 - incorporate increased expense



Minimizing Risk

- Large and complex projects
 - process risk
 - substantive risk
 - advance planning is required to minimize risk
 - adequate and timely risk identification



Importance & Benefits



Importance & Benefits

1. Can make or break an acquisition
2. Critical for planning
3. Facilitates contract implementation
4. Level sets expectations
5. Provides a definition of requirements and deliverables
6. Captures the work of the project – all critical work elements



Importance & Benefits

7. Communication and contract management tool
8. Foundation for the work the project must produce
9. Key governance tool
10. Lets service provider know if it can meet expectations
11. Will form a key part of the contract if the work is done by a contractor



Importance & Benefits

12. As part of a contract

- contains the vendor's contractual obligations
- work not set out in the contract and the contained SOW will only be done by mutual consent

13. Can prevent disagreement, misunderstanding and disputes

IMPORTANT



Inception of the SOW



Inception

- Early 20th century
 - primarily in government contracting
 - 1908 – U.S. Signal Corps drafted a requirements document to identify the required specs of the Wright Brothers' heavier-than-air flying machine
 - included requirements such as: *"...be easily taken apart for transport in Army wagons and be capable of being reassembled for operation in an hour, carry 350 pounds for 125 miles, and maintain 40 miles per hour in still air."*
 - approx. 1 page in length

** Statement of Work, Presented by the Department of General Services, Bureau of Procurement*



Use

- Used in
 - project management
 - government contracts
 - IT projects
 - RFPs
 - ...



Understanding & Definitions



Definitions

- Multiple definitions
 - document and description
 - specifies work to be done in developing or producing the goods or services to be delivered or performed
 - *“The Statement of Work (SOW) is a narrative description of the work required and stipulates the deliverables or services required to fulfill the contract. It defines the task to be accomplished or services to be delivered in clear, concise and meaningful terms”.*

Government of Canada



Definitions

“SOW is a document to be created during the initiation phase of the project and to be used throughout the whole project course. It is used to schedule project activities and create the project plan. Statement of work defines both the scope of project work and time that are required to accomplish the project and produce its deliverables. It’s the cornerstone to project planning and project development.”

MyManagementGuide.com



Definitions

“Detailed description of the specific services or tasks a contractor is required to perform under a contract. SOW is usually incorporated in a contract, indirectly by reference or directly as an attachment.”

business dictionary.com

“A Statement of Work is that statement that outlines specific services a supplier is expected to perform, by indicating the type, level and quality of service, as well as the time schedule required.”

Purchasing and Procurement Centre



Related Terminology

- Overlapping documents
- Different interpretations
 - Scope of Work
 - work to be performed under a contract or subcontract in the completion of a project, sets out tasks and deadlines
 - Scope of Work in an SOW can describe the specific tasks service provider will perform to meet the objectives
 - may form part of the SOW or stand-alone



Related Terminology

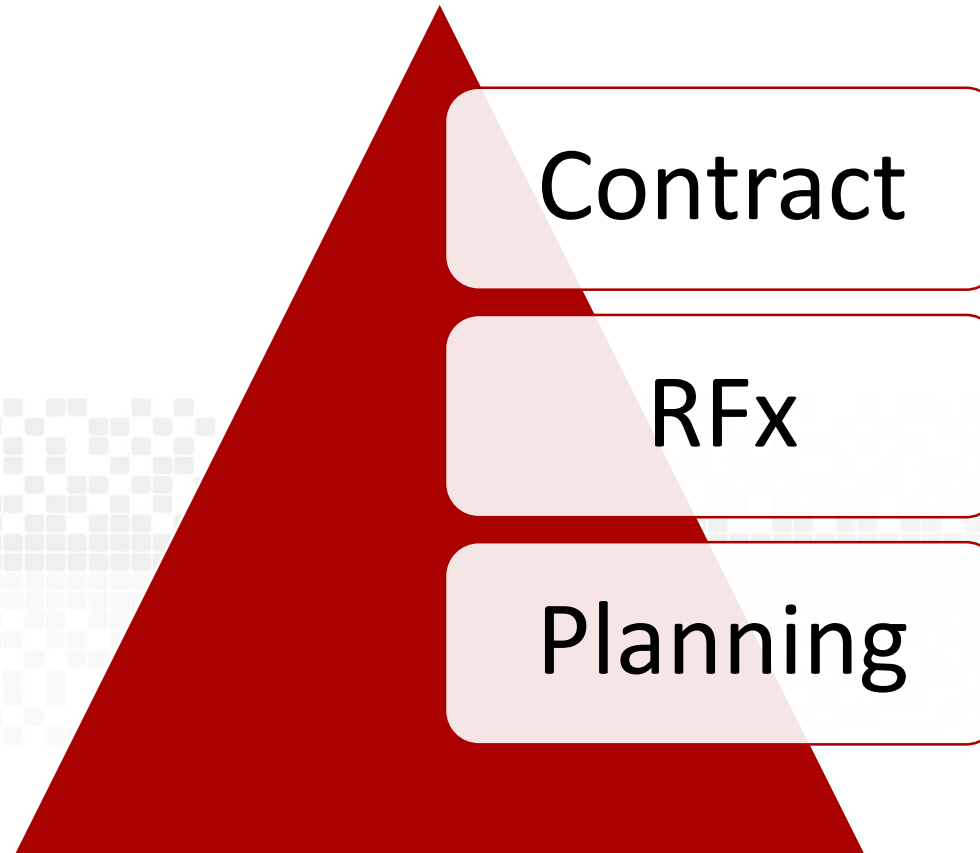
- Performance statement of work - PSW
 - emphasis on performance-based concepts >> desired service outcomes & performance standards
 - described in – FAR – 37.602
 - ... describe the work in terms of the required results rather than either “how” the work is to be accomplished ...*
 - ... assessment of work performance against measurable performance standards*
 - difference between a SOW and PSW
 - PSW does not tell the contractor how to do the work, but rather describes the work in terms of outcomes or results



When to Write an SOW



When to Use



When

- Helpful for large & complex projects
 - not needed for all RFPs or contracts
 - used by government & industry
 - SOWs different in range of size, complexity and approach



Legal and Risk Considerations



Legal and Risk Considerations

- Dependent on stage that the SOW is being done
- Wide range of considerations & consequences
- Examine stage
 - Planning
 - RFX
 - Contractual Stage



Planning Stage

- Consequences - can be external and internal
 - exceed budget
 - poor quality leading to customer dissatisfaction
 - timing/schedule failure
 - project failure
 - low staff morale
 - lost business



RFx Stage

- Consequences of inadequate SOW at the RFx stage:
 - may increase number of questions during the question period
 - may cause time delay – possible extensions to posting periods
 - discourage service providers from responding to the confusion/lack of clarity



RFx Stage

- questions regarding the integrity of the process
- reputational risk
- challenging to have a weak foundation in the RFx process
- reduced likelihood of a successful process and selecting the best proponent
- consequences more severe using a contract A/B methodology



Contract Stage

- Consequences of inadequate SOW at the contract stage:
 - equate to contractual inadequacies
 - operational - project failure & delays, inadequate contract management
 - contractual inconsistencies
 - legal – disputes & litigation
 - financial - cost escalations & extra expense, poor value for money



Contract Stage

- documents – additional amending documents may be required
- project failure
- reputational risks
 - external – media coverage, reduced public confidence
 - internal – audit, compliance issues
- ...



Supplier Relations

- Leading case for supplier relations
 - Bhasin versus Hrynew and Heritage*
 - 2014 – SCC
 - received much press
 - the law does change
 - significant implications for service contracts and contract management



**Harish Bhasin, carrying on business as Bhasin & Associates and Larry Hrynes and Heritage Education Funds Inc. (formerly known as Allianz Education Funds Inc., formerly known as Canadian American Financial Corp. (Canada) Limited*

2014 SCC 71



Facts

- Interesting facts
 - business of educational savings plan
 - B—enrollment director and responsible for marketing the education savings plans to investors
 - H—enrollment director & competitor to B
 - 2 problematic sets of conduct
 - H wanted to take over B's work and pressured Can-An (Co.) not to renew with B
 - Co. appointed H special provincial position



Facts

- under provincial law – audit his competitors including B – contentious issue
- Co. lied to B throughout these dealings
- H and Co. behaviour was a concern
- Co. held liable for breach of performance



Relevance

- Why relevant?
 - establishment of 2 new common law principles that apply to contracts
 1. Good faith contractual performance
 2. Common law duty which applies to all contracts to act honestly in the performance of contractual obligations

“does not impose a duty of loyalty or of disclosure or require party to forego advantages flowing from the contract; it is a simple requirement not to lie or mislead the other party about one’s contractual performance”
(par 10)



Understanding

- Motivation of court
 - to make common law less unsettled, more coherent and more just
 - more in tune with reasonable commercial expectations
 - to enhance rather than detract from commercial certainty
 - basic level of honest conduct is necessary to the proper functioning of commerce



Moving Forward

- What to expect
 - will take time for the implications of this decision to be worked out
 - recent cases
 - determination of these duties
 - good faith a more prominent role
 - arguably extensions of these principles
 - contractual documents to be reviewed
 - caution in contractual interaction



Components of a SOW



Components of a SOW

- Introduction
- Requirements
- Contract management
- Definitions
- Schedules and additional documents



Introduction

- Background
- Scope of Work
- Objectives
- Assumptions



Requirements

- Tasks and Work
 - tasks
 - performance requirements
 - institutional, security and legislative
 - IT requirements
 - staffing
 - deliverables & acceptance criteria
 - location and travel



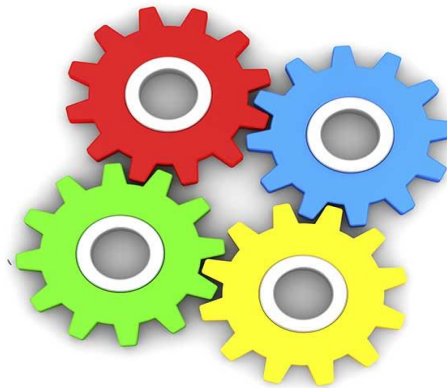
Requirements

- Service Provider
 - timelines
 - requirements, licenses and qualifications
 - insurance
 - ...



Contract Management

- Reports
- Meetings
- Communication Plan
- Change Process



Definitions

- All meanings for defined terms
 - consistency is key
 - capitals to indicate a defined term
 - all acronyms should be spelt out



Schedules and Additional Documents

- Examples
 - plans
 - gantt charts
 - relevant specifications
 - IT requirements
 - software licenses
 - list of service provider personnel



Handout



An Effective SOW



Qualities of an Effective SOW

A good SOW will define the nature, extent, and quality of the good or service is required. A good SOW will take into consideration the following:

- The SOW must be clear and complete.*
- The SOW should be written in a way that will allow for free competition between vendors.*
- The SOW must be written in the imperative mood.*
- The SOW must respect the legal framework, policies, rules and socioeconomic objectives regulating the goods and services being procured.*

Government of Canada



Qualities of an Effective SOW

- 6 C's
 - Concise
 - Complete
 - Consistent
 - Clear
 - Correct
 - Co-ordinated



Top 10 Indicators - Ineffective SOW

Document driven

1. Disconnect between different versions of the SOW at the different stages
2. Inconsistencies between the contract and the SOW
3. Generalizations
4. Confusion
5. Lack of substance



Top 10 Indicators – Ineffective SOW

Resource driven

6. Inadequately resourced
7. Planning is deficient
8. Insufficient management support
9. Poor communication – internal and external
10. Lack of user input



Contractor's Perspective



Contractor Considerations

- SOW from contractor's perspective
 - contractor's questions
 - inconsistencies causing confusion
 - unclear requirements
 - clear communication
 - useful document
 - dialogue



Authors of an SOW



Multiple Authors Or One

- Determination of authorship
 - project
 - complexity
 - resources
 - experience
 - organization's policy



Multiple Authors



Technical Specifications



Some Background

- Rational
 - free trade – prevent or reduce unnecessary obstacles to free trade
 - method of limiting the number of potential suppliers is for the procuring entity to create technical specification barriers in the procurement requirements
 - those barriers can prevent certain suppliers from being able to qualify
 - trade agreements prohibit this methodology – except for the exceptions & limited tendering



AIT

Article 504 - *Except as otherwise provided in this Chapter, measures that are inconsistent with paragraphs 1 [treatment to other parties] and 2 [non-discrimination] include, but are not limited to, the following: ...*

3. *Except as otherwise provided in this Chapter, measures that are inconsistent with paragraphs 1 and 2 include, but are not limited to the following:*

(b) *the biasing of technical specifications in favour of, or against, particular goods or services, including those goods or services included in construction contracts, or in favour of, or against, the suppliers of such goods or services for the purpose of avoiding the obligations of this Chapter;*



Trade and Cooperation Agreement Between Ontario and Quebec

- 2nd trade agreement (rev 2015)
 - similar principles in play
 - definition of technical specifications (9.3) - similar to CFTA & CETA
 - similar to biasing of specifications 9.6 (1) (b) – in the AIT
 - similar provisions re tender documentation – 9.11 (CFTA & CETA)
 - aims to facilitate trade between the two provinces, promote labour mobility,...



BPS Procurement Directive

- Minimal Guidance

Page - 5. Where an exemption, exception, or non-application clause exists under the Agreement on Internal Trade (AIT) or other trade agreement, organizations may apply this clause when conducting procurement.

7.2.9 Mandatory Requirement #9: Evaluation Criteria

...

*Mandatory criteria (e.g., **technical standards**) should be kept to a minimum to ensure that no bid is unnecessarily disqualified.*

...



Definitions - Standards

CFTA Part VI Definitions

standard means a document approved by a recognized body, that provides for common and repeated use, rules, guidelines, or characteristics for goods or services, or related processes and production methods, with which compliance is not mandatory. It may also include or deal exclusively with terminology, symbols, packaging, marking, or labelling requirements as they apply to a good, service, process, or production method;

CETA – (19.1) *standard* means a document approved by a recognised body that provides for common and repeated use, rules, guidelines or characteristics for goods or services, or related processes and production methods, with which compliance is not mandatory. It may also include or deal exclusively with terminology, symbols, packaging, marking or labelling requirements as they apply to a good, service, process or production method;



Technical Specifications

CFTA – Article 521

technical specification means a tendering requirement that:

- (a) lays down the characteristics of a good or a service to be procured, including quality, performance, safety, and dimensions, or the processes and methods for their production or provision; or*
- (b) addresses terminology, symbols, packaging, marking, or labelling requirements, as they apply to a good or a service;*

CETA - (19.1)

technical specification means a tendering requirement that:

- (a) lays down the characteristics of a good or a service to be procured, including quality, performance, safety and dimensions, or the processes and methods for their production or provision; or*
- (b) addresses terminology, symbols, packaging, marking or labelling requirements, as they apply to a good or a service.*



Analysis

Keep in mind

Overarching concern - Does this technical specification have the purpose or the effect of creating unnecessary obstacles to trade?

1. Is this a covered procurement?
2. Does a limited tendering exception/exemption apply? (exceptions & exemptions to be approved by PMO)



Analysis

3. Do the exceptions for the technical specifications come into play?

CFTA (509 (5)) and CETA (19.9 (6))

to promote the conservation of natural resources or protection of the environment

CFTA only (509 (6))

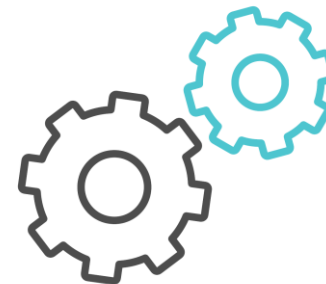
... it considers necessary to protect sensitive government information, including specifications that may affect or limit the storage, hosting, or processing of such information outside of Canada. For the purposes of this paragraph, government information includes third party information held by or on behalf of the government and sensitive information includes confidential, classified, or otherwise protected information



Analysis

4. Addressing

- the performance and functional requirements (rather than design or descriptive characteristics)
- base the technical specifications on standards, if they exist (CETA provides for international standards if they exist)



Analysis

5. Use of technical specifications

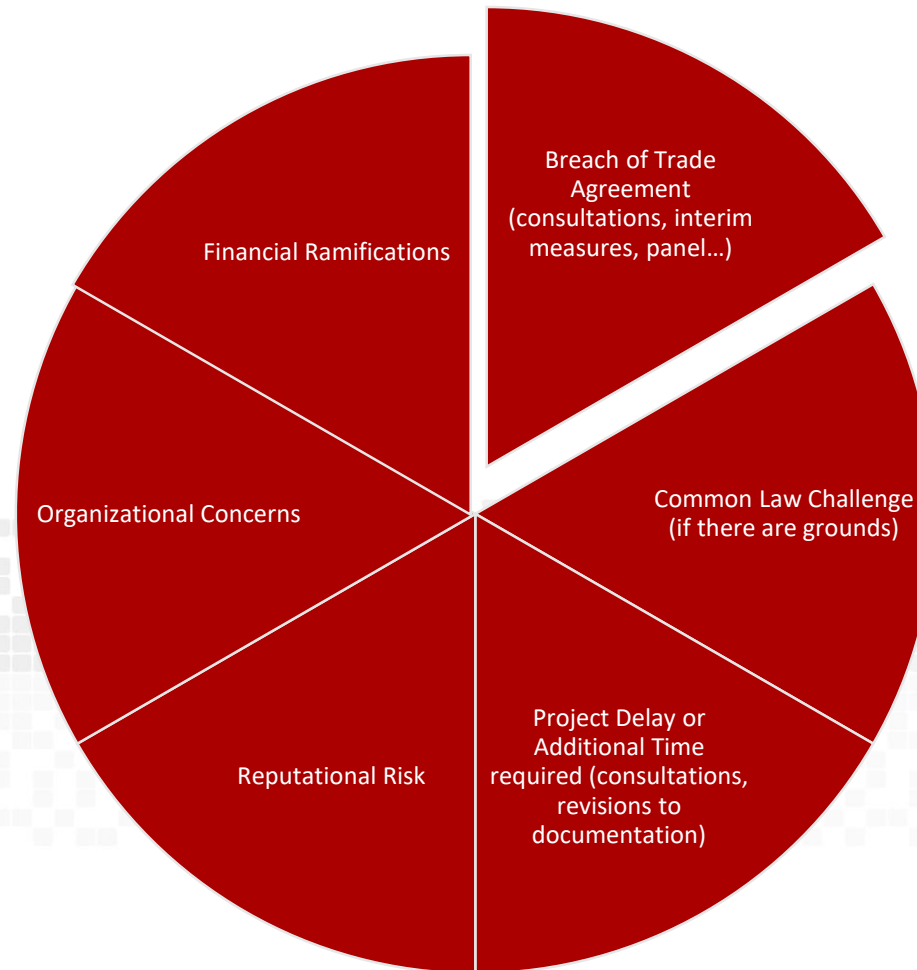
- CFTA *avoid* versus CETA *shall not*
 - *prescribe technical specifications that require or refer to a particular trademark or trade name, patent...*
- CETA (519(4))
 - *unless there is no other sufficiently precise or intelligible way of describing the procurement requirements*
- or equivalent wording allowed



Handout



Risks



Some Guiding Principles - Caveats

- Not the last word!
 - AIT wording is different than in the Trade Agreements
 - CFTA and CETA early days
 - panel (& rules) not yet established
 - guidance from the PRBC and CITT
 - global arena at this time
 - limited search - not an exhaustive search
 - ...



Case #1 PR-2000-070 (Lexmark Canada Inc. – CITT)

- Lexmark Canada Inc. filed a complaint with the CITT
 - solicitation by the Canadian Museum of Civilization Corporation for the supply of Hewlett-Packard printers and accessories
 - *“The bidders are invited to provide price proposals on HP4050TN printers as described in the original*
 - *Invitation to Tender and on the new HP4100TN printers with the following specifications:*



Case #1

- *20 HP 4100TN with 32 MB SDRAM memory card*
- *20 C8055A additional paper tray (500 sheets)*
- *20 3 years on-site extended warranty (parts and labor) ” p.2*

“The Tribunal finds that, by specifying Hewlett-Packard printers on a no-substitute basis, the CMCC biased the technical specifications in favour of a particular product. In the Tribunal’s opinion, contrary to the provisions of the AIT, this had the effect of creating a barrier to trade and prevented equal access to this procurement by all Canadian suppliers.” p.4

1. Caution when requesting a specific named product



Case #1

- **Related Item**

- non-compete - limited tendering

“... the application of Article 506(12)(a) of the AIT ..., the Tribunal observes that a precondition to the application of this article ... “only one supplier is able to -meet the requirements of a procurement”. In this instance, the Tribunal finds that the CMCC has not established the existence of that precondition before the Tribunal. In fact, there exist many vendors that can offer the Hewlett-Packard printers requested by the CMCC and, therefore, the Tribunal determines that Article 506(12)(a) does not apply in this instance.” p.4

2. Limited tendering/non-compete exceptions should be carefully utilized



Case #2 PR-2008-045 (Siva & Associates Inc. – CITT)

- The complaint ... procurement ... by the PWGSC for the provision of gate valves on behalf of the Department of National Defence.
 - Siva ...alleged that PWGSC improperly restricted competition to those suppliers that had already obtained a certificate of shock testing for the required products.



Case #2

“Submission of certificate of shock testing and drawing: all products proposed must have successfully met the testing requirements of Specification D-03-003-007/SG-000 Grade 1 Type A, prior to bid closing. If bidder is offering substitute products that are equivalent in form, fit, function and quality to the Original Equipment Manufacturer (OEM) parts specified herein, the bidder must provide proof by submitting a copy of the successful certificate of shock testing including the serial numbers of the proposed products and an acceptable drawing with certification of shock testing with their bid or within seven (7) calendar days upon written request of the contracting authority. Bids unable to meet this requirement will be given no further consideration.” p.1



Case #2

“In the Tribunal’s view, the information in the complaint does not indicate that PWGSC’s requirement for the shock test certification is unreasonable. Generally speaking, it is reasonable to consider that a buyer should not be obligated to accept parts whose operational performance has not yet been proven, as this could potentially lead to delays in the event that, for any reason, the specification is not ultimately met. The Tribunal notes that Siva did not provide evidence in support of its allegation that there was insufficient time to have the valves manufactured and tested within the time limits imposed by the RFP.” p.2

3. Be reasonable in making supplemental requests.



Case #3 G92PRF66K-021-0005/0006 (Sweeprite Mfg. Inc. – PRBC)

- Allegation

*alleged that Environment Canada (Parks), through the Department of Supply and Services (DSS), used “**blatantly restrictive**” specifications for these procurements. Specifically, they stated that the specifications outlined a feature which could only be met by a specific make thereby depriving them of the possibility of being able to bid successfully for this equipment....” p.1*



Case #3

“As the board has said on other occasions, if more time were spent preparing a truly performance-oriented specification which related more to needs than wants, the government departments, in addition to fulfilling their operational need, would truly be contributing to the achievement of open, fair, and transparent procurement as agreed in the Free Trade Agreement, would encourage technological innovation, and would save the taxpayers money at the same time”. p.11



Case #3

“As the Board noted in Cardinal of February 27, 1990 (Board File No. D89PRF6608-021-0005): to insist that any product offered as an "equal" must match every feature of the product used as the standard in the specification would be to deprive the specification of its general applicability, reduce the words "or equal" to meaninglessness, and turn the procurement into a "no substitute" purchase.” p.11

- 4. Prepare performance-orientated specifications.**
- 5. *Or equal* does not mean that equal must match every feature of the product used as the standard in the specification.**



Case #4 PR-2001-035 (Preston Phipps Inc. – CITT)

“The Tribunal finds that, by giving technical specifications referencing expressly brand name products and model numbers and not only output capacity requirements, and by not amending or removing article 2.1 of section 15751 of the Specification, which specifically does not allow for equivalent products, PWGSC restricted the goods to be proposed to these brand name products and models and indirectly sole-sourced its requirements.” p.6



Case #4

“...article 2 of the Specification, “Approval of alternative materials”, states that PWGSC would consider alternative materials upon application by suppliers and that, if approved, an amendment to the tender documents would be issued. Although the purpose of Article 2 of the Specification was to allow suppliers to propose alternative materials to the DRI-STEEM units, the Tribunal finds that the technical specifications contained in the tender documents were nevertheless restrictive. The requirements in question were clearly biased in favour of equipment specifically mentioned, to the detriment of all other suppliers of equipment that might have performed the same function. This is contrary to the provisions of Article 504(3)(b) of the AIT.” p.6



Case #4

“Once the requirements for DRI-STEEM products were set out, PWGSC did not fulfil its obligations of establishing unbiased technical requirements simply by having a clause allowing for alternative materials to be considered on request. In the Tribunal’s view, the acknowledgement that alternative equipment might be found to be acceptable by PWGSC, resulting in a formal amendment to the RFP in such circumstances, does not remedy or rectify this breach. In order to determine whether the technical specifications were biased in favour of particular goods, the Tribunal must look at the RFP as it read, not as it could have been read had it been amended to allow for equivalent products.” p.6



Case #4

- 6. Ensure that the RFP is clear in the requirements. Specifications will be read as is, not as it could have been read.
- 7. By not allowing for equivalent products, goods with proposed brand name products and models can be seen as indirectly sole-sourced requirements.



1 : 2



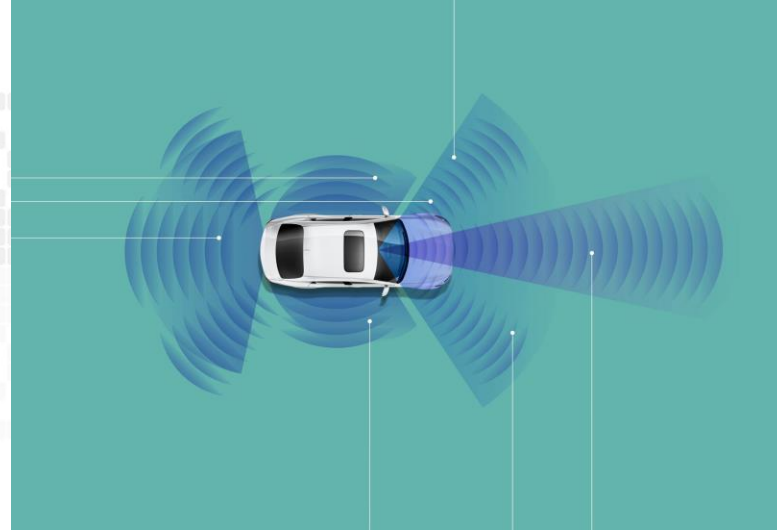
2 : 4



4 : 8

Under CFTA

- Expect challenges to increase
- AIT will provide insight for the future
- Keep this issue on the radar



Case #5 PR-2018-023 (Horizon Maritime Service Ltd./Heitsuk Horizon Maritime Services Ltd. V. PWGSC)

- Multiple Allegations
- On Topic
 - mandatory technical requirement

PWGSC demonstrated a bias towards ATL during the solicitation process p. 6

...when dealing with similar complaints about allegedly biased technical requirements, the Tribunal has found that a government institution is entitled to define its legitimate operational requirements and to reflect them in the technical requirements of the solicitation, as long as these are reasonable, i.e. not impossible to meet p. 15



Case #5

...a complainant bears the onus to present positive evidence that the government institution structured the terms of the RFP, such as technical requirements or specifications, with the purpose or effect of favouring (or excluding) a particular supplier (or suppliers)

...in this case, Heiltsuk Horizon did not meet its burden p. 15

no evidence that RFP was structured that reasonably appeared to favour ATL's bid or exclude other potential suppliers

PWGSC used recommendations and a review of existing literature to broaden the MR maximum vessel age from 15 years in RFI to 20 years in the RFP, thereby allowing for greater competition as opposed to lessening it



Case #5

8. Recognition that an institution is entitled to define its legitimate operational requirements

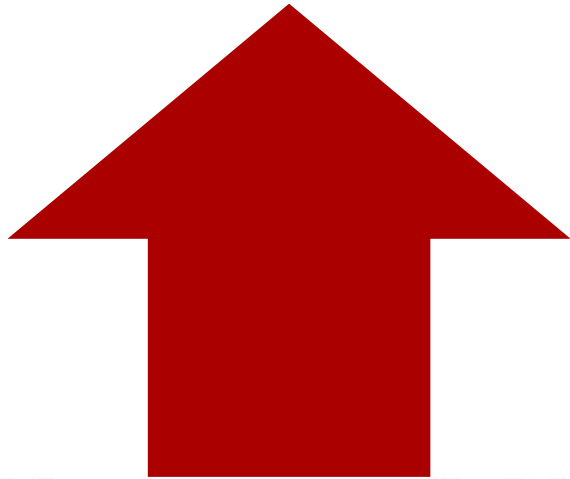
9. Burden of evidence is upon the complainant that favouritism exists.



Writing Tips



Using Templates

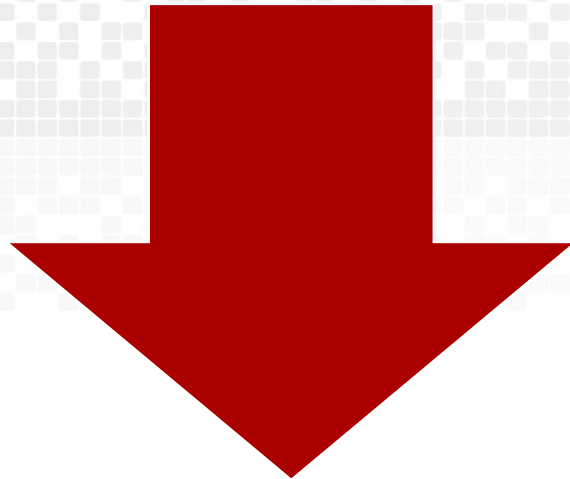


Uniformity presented to vendor community

Efficiencies achieved

Promote safeguards

Use of “own” paper



Blind adherence

Promotes lack of ownership

Fails to be dynamic

Court will assume that you know your own document



Using Templates

- One size does not fit all
- Use templates that fit more than one transaction if possible
- Familiarization with institution's templates/develop a toolkit
- Use the most updated template – templates change



Using Templates

- After a template has been used
 - ensure consistent terminology
 - when finished – read again from start to finish- avoid gremlins & *frankenmonsters*
 - inform if changes are needed – your work benefits all



SOW Writing Tips

- Questions to ask:
 - Are the services and deliverables described clearly and explicitly?
 - Are all terms defined?
 - Have the expectations that arises from the performance of the task been set out?
 - Who will perform each task?
 - What resources are required?
 - Have KPI's and benchmarks been set out?



SOW Writing Tips

- Questions to ask continued:
 - Who has reviewed this document?
 - Has someone other than those working on the SOW reviewed the document?
 - What is the process for overseeing the project/work? Monitoring? Testing?
 - Have you inadvertently shared confidential information?



SOW Writing Tips

- To avoid:
 - ambiguity in language
 - use of contradictory terms
 - assumptions
 - use of undefined acronyms
 - variations of a word/words with multiple interpretations
 - telling how to do the work
 - redundancy
- ...



SOW Writing Tips

- To do:
 - be concise and clear
 - use the active voice
 - position the work in terms of clarity & enforceability
 - define terms and acronyms
 - use simple sentence structure
 - use the same terms for a particular term
 - correctly describe the work requirements



Contract Drafting Rules

3 contract drafting rules

- **Additional Words Rule:** a conflict between the pre-printed language & the additional words resolved in favor of hand added rules
- **Contra Proferentum Rule:** if any ambiguities within the pre-printed form, a court will construe those ambiguities against the party who drafted them
- **Last Words Agreed to Rule:** where there are ambiguities in a document, the courts may decide the last words agreed to are the best expression of the parties' intention



Start Exercise



SOW - Measuring Performance



Performance Measurement

- Why?

- *“what gets measured gets done”*
- *“you get what you measure”*
- *“measuring outcomes is the only way to reliably report success”*
- well defined service levels reduce uncertainty
- well structured incentives can encourage positive working relationships



MEASURE
SUCCESS

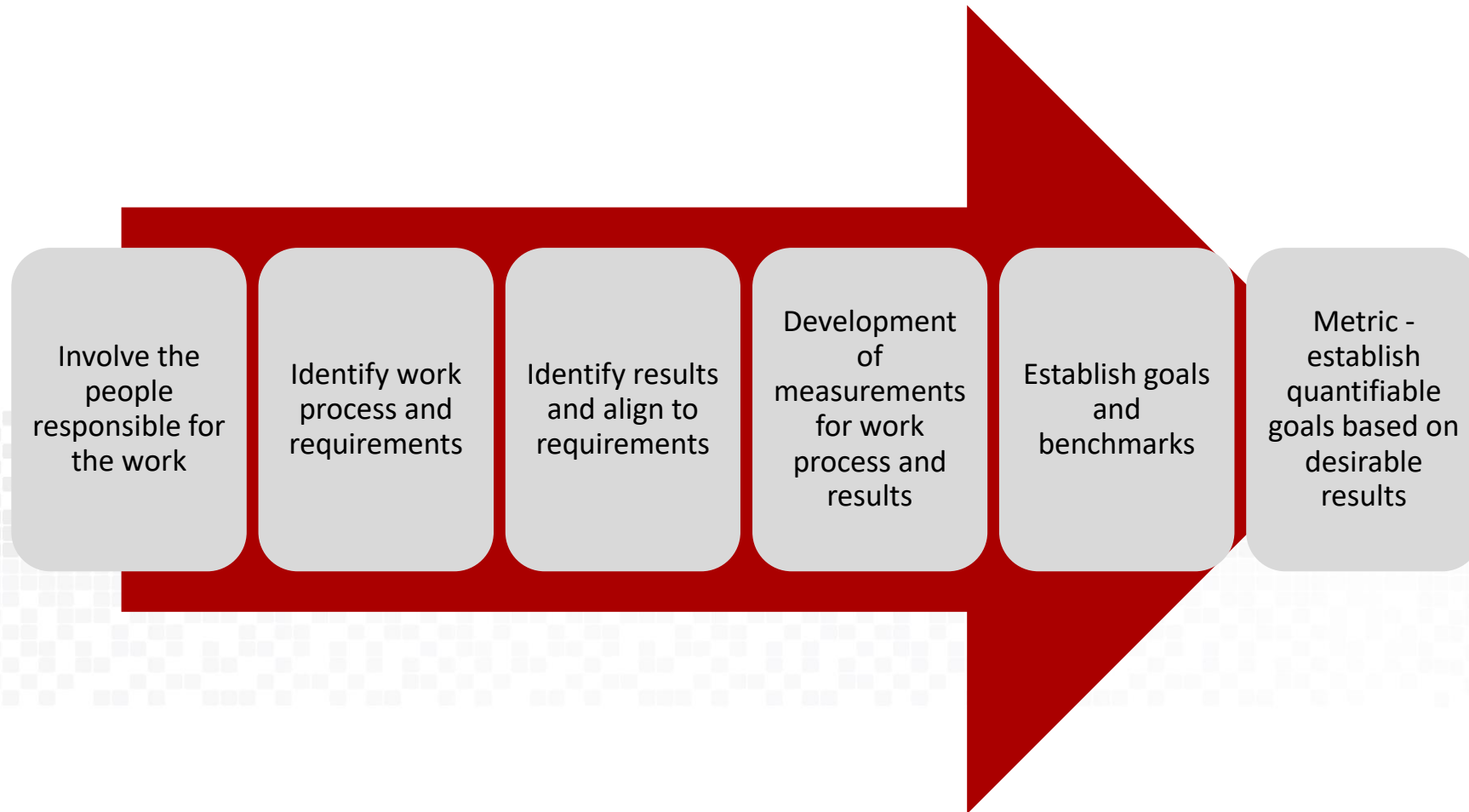


Performance Measurement

- Performance measurement
 - process of quantifying the efficiency and effectiveness of past actions (*Neely et al*)
 - process of evaluating how well organizations are managed and the value they deliver for customers and other stakeholders (*Moullin*)
 - involves collecting, analyzing and/or reporting performance information



Development Process



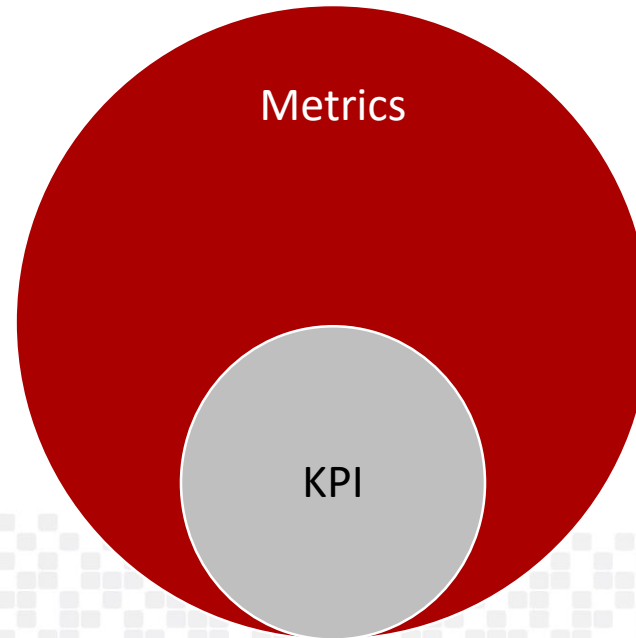
SMART

- Introducing SMART

- mnemonic acronym and a tool for assisting in the development of effective metrics
- origins of SMART - George Doran and Peter Druker
- variations of the term



Metrics and KPI



- KPIs are the measures that matter most
- KPIs should be actionable



All KPI metrics are:

Outcome Oriented

- tied to an objective

Target Based

- have at least one defined time-sensitive target value

Rated or Graded

- have explicit thresholds that grade the delta/gap between actual value and target



Integration into SOW

- Integration in SOW
 - development of performance measurements can be time consuming >>> becomes easier
 - address the performance measurements
 - implement way to monitor and measure
 - tied to the contract in terms of service levels and related process

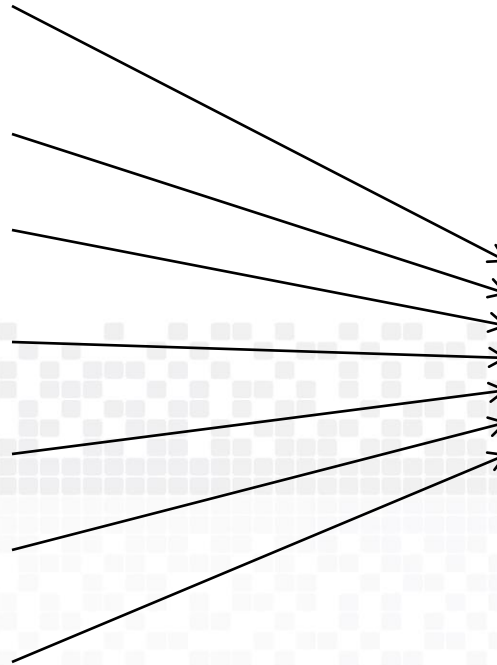


Risk Mitigation Analysis



Risk Management

- Purpose
 - identify
 - plan
 - allocate
 - reduce
 - manage
 - inform
 - learn



Risk



Risk Management Process



- Adopt a *what if* mentality
- Integral to Contract Management

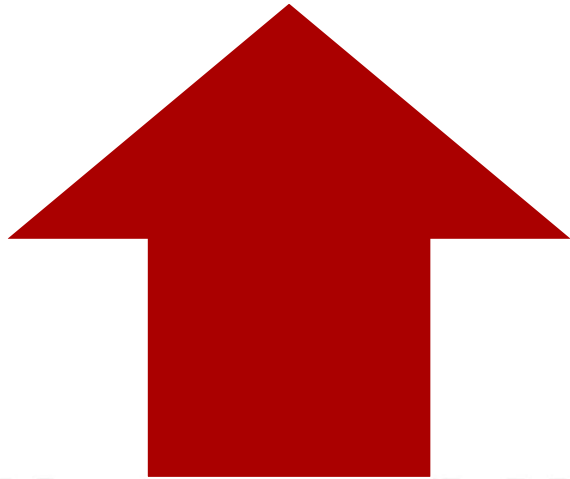


Risk Analysis

- Analysis
 - identify all the potential items that can go wrong
 - estimate the probability of occurrence
 - process
 - simple listing of risk
 - more formal process
 - protocols and procedures
 - more people involved
 - ...



Risk Assessment



Considerations of the likely impact of a risk on an organization

Low probability risks may have a substantial impact



High probability risks may have a low impact



Risk Mitigation

- Mitigation
 - dependent on the analysis & assessment
 - some considerations/strategies
 - risk acceptance
 - limitation - minimization vs. elimination
 - adequate insurance in place
 - plans
 - can part/all of the risk be transferred out
 - monitor



Risk Management Contract Checklist

- Additional risk mitigation strategy
 - checklists - organizational specific
 - labour intensive
 - collaboration with LMI Group – Australia
 - adapted for the Canadian market
 - good starting point
 - adjustments will be required
 - align objective prior to proceeding



Handout



Exercise



Review and Wrap Up





Group Exercise



Questions





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